

Sl. No	QUESTION	ANSWER
MODULE 1		
1	The financial system primarily deals with A. Production of goods B. Flow of funds C. Distribution of goods D. Tax collection	
2	Which of the following is NOT a component of a financial system? a) Financial markets b) Financial institutions c) Agricultural sector d) Financial instruments	
3	Financial system helps in: a) Capital formation b) Price rise c) Reducing savings d) Increasing imports	
4	The central bank of India is: a) SBI b) NABARD c) Reserve Bank of India d) SEBI	
5	Which institution regulates the capital market in India? a) RBI b) Securities and Exchange Board of India c) SBI d) LIC	
6	Financial institutions include: a) Banks b) Insurance companies c) Mutual funds d) All of the above	
7	Which sector is part of the unorganized financial system? a) Commercial banks b) Stock exchanges c) Money lenders d) Insurance companies	
8	Financial system promotes: a) Savings and investment b) Inflation c) Unemployment d) Inequality	
9	Efficient financial systems lead to:	

	a) Resource misallocation b) Economic growth c) Reduced production d) Trade barriers	
10	Financial markets are places where: a) Goods are produced b) Services are sold c) Financial assets are traded d) Taxes are collected	
11	Which of following is a financial instrument? a) Shares b) Bonds c) Debentures d) All of the above	
12	Money market deals in: a) Long-term funds b) Short-term funds c) Equity shares d) Real estate	
13	Capital market deals in: a) Short-term funds b) Medium-term funds c) Long-term funds d) None	
14	Primary market is also known as: a) Secondary market b) New issue market c) Stock market d) Money market	
15	Bonds are: a) Equity instruments b) Debt instruments c) Derivatives d) Commodities	
16	Fixed interest income is associated with: a) Equity shares b) Bonds c) Commodities d) Derivatives	
17	Equity shareholders are: a) Creditors b) Owners of the company c) Debtors d) Lenders only	
18	Dividend is paid to: a) Debenture holders	

	b) Equity shareholders c) Creditors d) Banks	
19	Derivatives derive value from: a) Physical goods b) Underlying assets c) Currency only d) Government policies	
20	Example of derivative instrument: a) Shares b) Bonds c) Futures d) Debentures	
21	Commodities market deals in: a) Financial securities b) Physical goods c) Only shares d) Only bonds	
22	Example of commodity: a) Gold b) Wheat c) Oil d) All of the above	
23	Liquidity means: a) Profitability b) Ease of buying and selling assets c) Risk d) Taxation	
24	Efficient markets are characterized by: a) Lack of information b) Transparency c) High risk only d) No trading	
25	Financial markets are regulated to ensure: a) Monopoly b) Fair practices c) Price fixing d) Tax evasion	
26	Financial system links: a) Government & banks b) Savers & investors c) Buyers & sellers d) Exporters & importers	
27	Which is not a financial institution? a) Bank b) Insurance company	

	c) Factory d) Mutual fund	
28	Capital formation means: a) Consumption b) Saving + Investment c) Spending d) Taxation	
29	Financial intermediation refers to: a) Direct finance b) Indirect finance via institutions c) Trade d) Tax	
30	Which is a financial claim? a) Bond b) Share c) Deposit d) All	
MODULE 2		
31	The money market deals with: a) Long-term funds b) Short-term funds c) Equity shares d) Real estate	
32	The maturity period of money market instruments is: a) More than 1 year b) Less than 1 year c) Exactly 5 years d) Unlimited	
33	Which of the following is NOT a money market instrument? a) Treasury Bills b) Commercial Paper c) Equity Shares d) Certificate of Deposit	
34	Money market helps in: a) Capital formation b) Liquidity management c) Industrial production d) Foreign trade only	
35	A developed money market contributes to: a) Economic instability b) Efficient monetary policy c) High inflation d) Reduced banking system	
36	The main objective of the money market is: a) Profit maximization b) Liquidity and safety	

	c) Export promotion d) Tax collection	
37	Call money refers to: a) Long-term borrowing b) Borrowing for more than 1 year c) Overnight funds d) Equity investment	
38	Call money is mainly used by: a) Farmers b) Banks c) Students d) Governments only	
39	When money is borrowed for more than one day but up to 14 days, it is called: a) Call money b) Notice money c) Term money d) Demand loan	
40	Treasury Bills are issued by: a) Commercial banks b) Corporates c) Central Government d) RBI employees	
41	Treasury Bills are: a) Interest-bearing b) Issued at discount c) Equity instruments d) Long-term securities	
42	Common maturity of Treasury Bills includes: a) 91 days b) 182 days c) 364 days d) All of the above	
43	The discount market deals in: a) Shares b) Bills of exchange c) Bonds only d) Gold	
44	Discounting means: a) Paying full value b) Paying after maturity c) Deducting interest in advance d) Giving bonus	
45	Commercial Paper is issued by: a) Individuals b) Corporates	

	c) Farmers d) RBI only	
46	Commercial Paper is: a) Secured b) Unsecured c) Government guaranteed d) Long-term	
47	Minimum maturity of Commercial Paper in India is: a) 7 days b) 15 days c) 30 days d) 1 year	
48	Certificate of Deposit is issued by: a) RBI only b) Commercial banks c) Farmers d) Stock exchanges	
49	Certificate of Deposit is: a) Non-negotiable b) Negotiable instrument c) Equity share d) Long-term bond	
50	CDs are issued in: a) Physical form only b) Dematerialized form c) Oral agreement d) Gold form	
51	The Indian money market is regulated by: a) SEBI b) RBI c) Ministry of Agriculture d) LIC	
52	The organized sector of Indian money market includes: a) Money lenders b) Indigenous bankers c) Commercial banks d) Traders	
53	One major feature of Indian money market is: a) Uniformity b) Integration c) Dual structure d) No regulation	
54	RBI controls money supply through: a) Fiscal policy b) Monetary policy c) Trade policy	

	d) Industrial policy	
55	Which tool is used by RBI in money market? a) Repo rate b) Reverse repo rate c) Open market operations d) All of the above	
56	Call money market is also known as: a) Capital market b) Interbank market c) Stock market d) Bond market	
57	Treasury Bills are considered: a) Risky b) Highly risky c) Risk-free d) Speculative	
58	Capital market deals with: a) Short-term funds b) Medium and long-term funds c) Only foreign exchange d) Agricultural loans	
59	Capital market is broadly classified into: a) Primary and Secondary market b) Money and Call market c) Banking and Non-banking d) Domestic and Foreign market	
60	The primary market is also known as: a) Stock market b) New issue market c) Call market d) Money market	
MODULE 3		
61	Secondary market deals with: a) New securities b) Existing securities c) Government taxes d) Currency exchange	
62	Which of the following is a feature of the primary market? a) Trading of old securities b) Issue of new securities c) Speculation only d) No regulation	
63	Stock exchanges are part of: a) Primary market b) Secondary market c) Money market	

	d) Call market	
64	Government securities are also known as: a) Corporate bonds b) G-Secs c) Equity shares d) Mutual funds	
65	Government securities are issued by: a) Private companies b) Central and State Governments c) Individuals d) Banks only	
66	Government securities are considered: a) Highly risky b) Moderately risky c) Risk-free d) Speculative	
67	The maturity of government securities is generally: a) Short-term only b) Medium to long-term c) Overnight d) 7 days	
68	Treasury Bills are part of: a) Capital market b) Government securities market c) Industrial market d) Foreign exchange market	
69	Gilt-edged securities mean: a) High-risk securities b) Government-backed securities c) Foreign securities d) Corporate shares	
70	Industrial loans market provides: a) Short-term credit b) Long-term finance to industries c) Agricultural loans only d) Personal loans	
71	Which institution provides industrial finance in India? a) RBI b) Commercial banks c) Development banks d) Both b and c	
72	Industrial loans are mainly used for: a) Consumption b) Capital expenditure c) Daily expenses d) Imports only	

73	Development banks mainly provide: a) Short-term loans b) Medium and long-term loans c) Call money d) Demand loans only	
74	Industrial finance helps in: a) Increasing unemployment b) Industrial growth c) Reducing production d) Limiting exports	
75	The main aim of capital market is: a) Liquidity management b) Long-term investment c) Short-term borrowing d) Currency exchange	